

2ND LIEN

PRIMARY							
Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type ¹
740	500,000	85%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	SFR
720		80%					
740		85%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
700		80%					
680		80%					
740	500,000	85%	Cash Out	2,000,000	3,500,000	4,000,000	SFR
720		80%					
700		80%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
680		75%					
SECOND HOME							
Min Credit Score	Max Loan Amount	CLTV	Loan Purpose	Max Exposure w/CLTV > 80%	Max Exposure w/CLTV 70.01-80%	Max Exposure w/CLTV <= 70%	Property Type
740	500,000	80%	Purchase & Rate/Term Refinance	2,000,000	3,500,000	4,000,000	SFR
720		75%					
740		80%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
700		75%					
680		75%					
740	500,000	80%	Cash Out	2,000,000	3,500,000	4,000,000	SFR
720		75%					
700		75%			3,000,000	3,500,000	SFR/Condo (Warrantable / Non-Warrantable)
680		70%					
Housing History		Housing and Credit Event Seasoning					
0x30x24 on all mortgages		• 4 years must have elapsed from either a housing event or prior bankruptcy.					
Geographic Restrictions							
• Not permitted in MS, NJ, NY, TN, or TX • HI: Delegated Correspondent Channel only • IL: 2nd liens in IL are ineligible for TRID loans located in Cook, Kane, Peoria and Will Counties. Does not apply to Correspondents. • MD: Baltimore City Row Homes are ineligible.							
General Requirements							
Product Type	• Fixed Closed End Second • Manual Underwriting only – Not eligible for Express (DU) .						
Available Terms	• Fixed Rate Fully Amortizing: 15-Year, 20-Year, 25-Year, and 30-Year						
Loan Amounts	• Min: \$125,000 – Max \$500,000						
Occupancy	• Primary and Second Home						
Borrowers	• Non-Occupant Co-Borrowers are not permitted on the 1st or 2nd lien.						
Loan Purpose	• Purchase, Rate/Term Refinance and Cash Out						
Cash-Out	• Cash-out with less than six (6) months seasoning is permitted, provided the LTV is based off the lesser of the purchase price or the appraised value. • For a refinance transaction paying off an existing subordinate lien, if that subordinate lien was a cash out transaction, a minimum of six (6) months seasoning must elapse prior to the new refinance.						
Borrower Eligibility	• U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens with a valid SSN • Borrowers must meet all guideline requirements including the minimum tradeline requirements.					Ineligible: • ITIN • DACA • Non-Occupant Co-Borrowers on the 1 st or 2nd lien.	
Appraisals	• Full interior/exterior appraisal required.						

Property Type ¹	• Single Family, Attached, Detached • PUD • Townhouse • Warrantable Condos • Non-Warrantable Condominium: reduce 5% from Matrix LTV • Condotels not permitted.
Rural Properties	• Not permitted.
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Full Doc - Income Requirements	
Wage/Salary	• Paystubs, W-2 or e-VOE, 2 Years Tax Returns, IRS Form 4506, plus • Verbal VOE is required within 10 days of Note Date for wage earners.
Self-Employment	• 2 Years Personal and Business Tax Returns, YTD P&L, IRS Form 4506, 2 months of most recent bank statements • Verbal VOE is required within 30 days for self-employed borrowers
Alt Doc - Income Requirements	
Personal Bank Statements:	• 24 months of Personal and 2-months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements. • The business bank statements must reflect business activity and transfers to the personal account. • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.
Business/Co-Mingled Bank Statements:	• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ◦ Fixed Expense Ratio (50%); OR ◦ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR ◦ 3rd party prepared Profit & Loss Statement (CPA or EA) • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.
24 months CPA/EA Prepared Profit & Loss Statement	• 24 months P&L, prepared by CPA, EA or Tax Preparer • Minimum of 2-months business bank statements • Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history
IRS Form 1099	• 2 Years 1099 • Fixed Expense Ratio of 10% • YTD Documentation to support continued receipt of income from same source.
Asset Utilization	• Not permitted
Underwriting Requirements	
Mortgage History	• 0x30x24
Housing Event and BK Seasoning	• 4 years
DTI Requirements	• Max 50% Primary • Max 43% Second Home
Credit Score	• Middle of 3 scores or lower of 2 for Primary Income Earner. • Additional borrowers must have a minimum score of 540.
Tradelines	• If the Primary wage earner has 3 credit scores, there are no further tradeline requirements. • Otherwise, trades must meet one of the following: • 3 reporting for 12+ months + activity within most recent 12 months (may be closed) • 2 reporting for 24+ with activity within most recent 12 months (may be closed) • 24-months mortgage history reporting on credit report with a score
I/O First Mortgage Qualifying Requirements	• Interest Only (I/O) First Mortgage must be qualified at the fully amortizing P&I payment
Reserves	• 6 months' reserves required. • Cash out may be used to satisfy requirement
Gift Funds	• Gift funds permitted provided borrower meets minimum contribution: • 5% primary • 10% second home • Gift funds not permitted to be used towards reserves
Assets	• 30-days asset verification required • Deposits > 50% of gross income or average deposits on a bank statement loan must be documented on purchases

Residual OO and 2nd Homes only	• Defined as Gross Monthly Income – Total Monthly Obligations. • Requirement based on # in household. • Applies to HPML loans or when the DTI > 43%: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 • Add \$150 per additional household member
Age of Documentation	• Credit - 120 days • Income and Assets - 90 days
Prepayment Penalty	• Not permitted